

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Protex Group Limited ("the Company") has been engaged in the production of patented medical masks with different specifications and standards in a sterilised and strictly controlled manufacturing factory located in mainland China for many years. The Company sells their masks to hospitals directly in Hong Kong and other Asian countries. The Company has a few special patents for producing medical masks that provide competitive advantages and differentiation from medical masks manufactured by other competitors. The manufacturing processes are fully automated and require limited labour and supervisors to manage the processes. The Company acquires all raw materials through long-term contracts with reputable and stable medical suppliers and keeps all medical masks in sterilised, secured and well-controlled warehouses owned by the Company in Hong Kong and mainland China.

The Hong Kong office has a sales team and a sales administration team led by an experienced regional sales director in Hong Kong to sell and to arrange shipping and delivery of the products locally and regionally. The Company also has a customer service team that is led by an experienced customer service director to provide customer services to cater for the needs of different hospitals in Hong Kong and Asian countries. The Company has established innovative and automatic manufacturing, operation and accounting systems to make sure all manufacturing and operating processes and activities comply with different medical standards and requirements. The Company also has a research and development team led by a group of medical practitioners to develop new patents and to design new medical masks for the market. This successful strategy helped the Company to list on the Hong Kong Stock Exchange ten years ago, and their innovative and patented masks have received numerous awards and prizes in the medical equipment and accessories industry. Mr Song, the Chief Executive Officer of the Company and a fellow member of the Hong Kong Institute of Certified Public Accountants, was recognised as a successful entrepreneur by the government due to his contributions and achievements in manufacturing innovative and high quality medical masks in the industry.

Due to an outbreak of an unknown pandemic, there has been a tremendous increase in the demand of medical masks. The Company has a lot of medical mask inventory in their warehouses. One medical mask distributor, who is a good friend of Mr Song, suggests the Company sell their medical masks at ten times the existing prices to consumers who are willing to pay more money to buy medical masks to safeguard their health. It is estimated that the profit of the Company would be, at least, triple if they agree to cooperate with the distributor. There are major arguments at the Board of Directors' meeting about this proposal. Some directors agree that the Company should increase the prices of medical masks as there has been strong demand, which could increase the profitability and share price of the Company immediately. Some directors argue that the Company should not increase the price significantly so that underprivileged consumers will also be able to buy their products to safeguard their health during the pandemic. Mr Song is struggling on how to make this decision.

The pandemic has also generated significant increase in the demand of medical protection suits in Hong Kong and other Asian markets. The Company is considering the production of medical protection suits in existing markets. Based on their successful history of producing medical masks, the Company is considering using their exclusive patents and innovative manufacturing processes to develop a new medical protection suits business. Before they implement the new product development plan, the Company wants to review and evaluate activities that have added value in the production of medical masks so that they can use them to produce the new medical protection suits. The regional sales director also suggests that the Company can consider acquiring a private medical protection suits manufacturing factory that produces patented and high quality medical protection suits in the Netherlands. These products can then be sold in Asian markets. Since this would be the first time the Company has acquired another company in an overseas country, the Board of Directors is not sure how to start and wishes to investigate this potential investment. They are not sure about the operations, management and other material facts of the factory in the Netherlands. Being a listed company, Mr Song is worried that the Company will have to comply with rules and regulations in Hong Kong and the Netherlands when the Company decides to make such a significant acquisition.

The Company is also planning an overseas manufacturing project, namely Project Adventure, to buy a new machine to produce medical accessories in an overseas country due to the increase in demand of medical accessories in this overseas country. The cost of the new machine is US\$1 million, and the useful life is eight years with no residual value. The Company will evenly depreciate the machine based on its useful life. The Company has the following estimates in real values:

Year	1	2	3	4
Sales (US\$)	1,000,000	1,350,000	1,500,000	1,500,000
Operating expenses (US\$)*	540,000	600,000	660,000	660,000

The business strategist of the Company estimates that the gross margin ratio of the project is 70% and the tax rate is 30%, which is applied to both operating profit and gain on disposal of non-current assets. Since this is a special overseas project, the business strategist has decided to use a special discount rate that is the sum of nominal interest rate and country risk premium to assess the financial feasibility of the project. The real interest rate is 8% and the annual inflation rate is 2% in this overseas country. The country risk premium is 6% in a prosperous economy and 10% in a poor economy. The chance of having a prosperous economy is 50%. If business does not do well, the Company may decide to dispose of the machine at the end of year 4 for US\$600,000, which is estimated before taking into account inflation. The Company has decided to use nominal values to conduct the financial feasibility of this project.

* Including regular repair and maintenance of the machine.

Question 1 (15 marks – approximately 27 minutes)

Acting as financial controller of the Company, prepare a memo to the Board of Directors to recommend the most suitable strategic model and explain how the Company can use it to review and evaluate the value adding activities in the production of medical masks and how it can contribute to manufacturing new medical protection suits.

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(15 marks)

Question 2 (10 marks – approximately 18 minutes)

Using an ethical model, describe and explain what Mr Song should consider in order to make a decision about whether the Company should sell medical masks to consumers at inflated prices.

(10 marks)

Question 3 (12 marks – approximately 22 minutes)

(a) Propose and explain the processes that the Company should conduct before the acquisition of the medical protection suits manufacturing factory in the Netherlands in order to mitigate the associated risks of the acquisition.

(8 marks)

(b) Recommend what external professionals should be involved and their duties in the above processes.

(4 marks)

Question 4 (13 marks – approximately 23 minutes)

Advise on the most appropriate method to assess the financial feasibility of Project Adventure and use nominal values to prepare the financial feasibility analysis (assuming Project Adventure is not doing well at the end of year 4) to support your recommendation to the Board of Directors of the Company.

(13 marks)

* * * * *

End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (16 marks – approximately 29 minutes)

Monica Marketing Limited ("the Company") is a private company owned by a few shareholders. The business assists hosts in organising annual dinners, conferences and exhibitions. The peak season of the Company is in July and August when many exhibitions are held during the summer holiday. The Company will sign a contract after the design and details of an event are agreed upon with the hosting organisation, and then the Company will start preparing for venue setup, buying the decoration materials, renting equipment, i.e. audio and lighting, and executing the agreed upon plan.

The Company will pay temporary workers immediately once the event is finished. The sourcing of the decoration materials is quite ad-hoc and decentralised at this moment. The project managers will source by themselves in nearby areas and pay cash for such purchases, including delivery and installation costs. The Company has one supplier to provide rental of audio and lighting equipment, for which the Company gets a 30-day credit period. For some events which invite pop singers, the Company is required to pay a 50% deposit one month before the event and 50% on the date of the event. The salary of the full-time staff is paid within five days on the next month, and the office rent is paid in the first week of the current month. The Company will issue invoices at the end of each month to their customers for those events that were completed in that month, and the customers must pay within seven days upon receipt of the invoices. There is no overdue noted.

The Chief Financial Officer ("CFO") has identified that there are weaknesses in the Company's procurement process, and the CFO suggests that the Company should centralise the procurement of decoration materials as well as delivery and installation for better price negotiation and better working capital management. Below is the monthly budget of the Company:

	Actual June HK\$'000	Forecast July HK\$'000	Forecast August HK\$'000	Forecast September HK\$'000
Service fee income	650	3,150	6,500	930
Expenses				
Office rent	180	180	180	180
Salaries and MPF to full-time staff	240	270	270	270
Salaries to temporary workers	20	65	110	40
Performance fees of pop singers	30	450	750	110
Decoration materials costs	117	567	1,625	140
Delivery and installation costs	20	158	325	47
Rental of equipments	35	221	455	65
Total expenses	642	1,911	3,715	852
Profit before tax	8	1,239	2,785	78
Cash balances at the end of June	2,000			

Required:

- (a) (i) Prepare the cash flow forecast for July and August of the Company showing the forecasted cash balances at the end of each month. (5 marks)
- (ii) At the beginning of August, the Company foresees there is a significant risk that all of the service fee forecasted to be received in August would be delayed to September. Based on the forecasted cash balance of July, advise how much funding is required to sustain August operation and what will be the difference on the funding requirement if the Company temporarily postpones the projects in August to October. (5 marks)
- (b) Advise the Company on how to enhance working capital. (3 marks)
- (c) The Company has more than HK\$3 million in retained earnings, and one of the shareholders of the Company challenges the Company to distribute at least HK\$1 million dividends to all shareholders and seek an external loan for working capital. Advise on whether the Company should follow the shareholder's suggestion. (3 marks)

Question 6 (16 marks – approximately 29 minutes)

Ashley Industrial Limited is a Hong Kong listed company ("the Company") based in mainland China with business in manufacturing industrial products and selling their products in mainland China and other Asian countries. The strategy of the Company is to invest in the best research and development ("R&D") and in the latest equipment technology to provide the industry with the best quality products. The Company is required to invest heavily in non-current assets such as R&D and new factories and equipment, and the Company has significant external borrowings from a bank. One of the Company's priorities is to maintain sufficient liquidity. The management of the Company is very happy with last year's financial results, when their sales recorded a 7.8% growth despite the slowdown of the global and Chinese economies. The management was proud that the current ratio of the Company is able to keep steady and even slightly improved compared to last year; however the bank does not agree. The bank warned the Company that their liquidity risk is increasing and suggested that the Company should take appropriate measures to improve the situation or otherwise the bank may call back their loan to the Company. The management was shocked and decided to discuss this issue with the Chief Financial Officer ("CFO").

Extract of statement of financial position

	2021 HK\$'000	2020 HK\$'000
Non-current assets	29,751	18,976
Inventories	2,645	1,355
Accounts receivables	3,663	2,850
Prepayment	500	400
Cash and cash equivalents	4,598	4,199
Total current assets	11,406	8,804
Current liabilities	8,422	6,603
Non-current liabilities	9,354	6,125
Total liabilities	17,776	12,728
Net assets	23,381	15,052

Extract of statement of profit or loss

	2021 HK\$'000	2020 HK\$'000
Sales	17,258	16,014
Cost of goods sold	(11,875)	(10,139)
Gross profit	5,383	5,875

Required:

- (a) Calculate the current ratio of the Company and advise on whether the current ratio has been really improved.

Analyse the comments from the bank and the reason why the liquidity risk has been increased. Based on the financial information provided, justify your answer with one profitability ratio, one other liquidity ratio, and the following two productivity efficiency ratios:

- Inventories turnover days (based on the inventories ending balance); and
- Accounts receivables turnover days (based on the accounts receivables ending balance).

Explain further the potential implications to the Company.

Assume 365 days in a year.

(11 marks)

- (b) In addition to ratio analysis as one of the performance measures, advise on FIVE strategic control measures for the Company to improve their performance.
(5 marks)

Question 7 (18 marks – approximately 32 minutes)

Andes Corporation ("the Company") is a company based in Hong Kong and listed on the Main Board of the Hong Kong Stock Exchange. The Company manufactures sports shoes in mainland China and Indonesia and sells its products to Hong Kong, Mainland China, the US and Europe through distributors. The distributors have agreed with the Company to a payment term where the distributors can pay in the local currencies of the distributors (i.e. HKD, RMB, USD or EUR) with a 30 to 90 day credit period to the bank account of the Company in Hong Kong.

The Company has a newly established treasury department in Hong Kong, and Nicole, who has over 15 years of treasury experience, has just joined the Company as the treasurer, reporting to the Chief Financial Officer ("CFO"), to lead the treasury department. The Company does not have any treasury policies, and they have relied on a multinational bank for treasury management for more than 20 years. The Company placed a significant amount of their excess cash in structured deposits and futures contracts in Australian dollars. Nicole was told by the CFO that the structured deposits and futures contracts were recommended by the relationship manager who believed Australian dollars would be strong and could potentially provide good returns for the Company. Nicole is not aware of the Company using any other services provided by the bank.

Nicole also has noted that the expansion of the Company mainly relies on internal funding, such as retained earnings of the Company, which may slow down the growth of the Company. Currently, the Company does not have any external debt. To allow the Company to grow faster, Nicole believes the Company should start looking for debt financing. However, under the recent uncertain economic environment, the first round of debt offering from the market was not very attractive, as the investors had priced in a high credit risk for the Company, which makes Nicole hesitate to consider debt financing for the Company, even though Nicole is very confident in the strong financial position and good liquidity of the Company. Nicole is thinking to approach a credit rating agency to rate the debt they issued to provide more confidence to their bond investors.

Required:

- (a) Explain the role of the treasury department regarding the banking relationship management and propose three suggestions on what bank solutions can be introduced to improve the treasury operation of the Company.
(4 marks)
- (b) Advise on what Nicole should do to facilitate the credit rating exercise by the credit rating agency.
(4 marks)
- (c) The Australian dollar fluctuated significantly last year, and the Company suffered a huge loss from the structured deposits and futures contracts which they entered into with the bank, but Nicole realised that the relationship manager is not registered as a licensed intermediary in the Securities and Futures Commission ("SFC"). Nicole is planning to raise a complaint. Advise on where the Company could file their complaint and explain the grounds.
(4 marks)

- (d) Advise on how the treasury department of the Company can contribute to corporate governance, especially in terms of risk governance. Focus your discussion on the areas of governance structure and control environment.
(6 marks)

* * * END OF EXAMINATION PAPER * * *